

Associate Builders v. Delhi Development Authority

Citation: (2015) 3 SCC 49 | Court: Supreme Court | Year: 2015

Coram: Division Bench (R.F. Nariman & Ranjan Gogoi JJ.) | Subject: Arbitration & ADR | Provisions: Arbitration Act 1996 Sec 34

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Set-aside jurisdiction under Section 34 of the Arbitration Act on the ground of 'Public Policy of India' is extremely narrow. An arbitral award cannot be set aside merely on errors of fact or because the court would take an alternative reasonable view of the contract.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Arbitration Act 1996 Sec 34. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Arbitration Act 1996 Sec 34.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Defined the heads of Public Policy: (1) Fundamental Policy of Indian Law, (2) Interest of India, (3) Justice or Morality, and (4) Patent Illegality. An arbitrator is the sole judge of evidence quantity and quality; courts cannot sit in appeal.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Severely restricted judicial interference in arbitral awards under Section 34.

â€¢ Clarified 'Patent Illegality' as illegality going to the root of the matter.

â€¢ Prohibited courts from reappreciating evidence or substituting contract interpretations.